

Europe "too late"; Geely joins Ford

Signal	On Sep 29, 2026, Ford CEO Jim Farley said, per Reuters, it's "too late" for Europe to hold off Chinese carmakers, but the US must be "extremely careful" how they enter.
Read	On Jul 23, Ford formed a venture with China's Geely at its Valencia, Spain plant: Ford 66%, Geely 34%, no price disclosed. Geely's electric cars built there pay no EU import duty; shipped from China they pay 10% + 18.8% = 28.8%. Geely builds its own electric models on a line Ford had stopped using; Ford keeps building its own models at the plant.
Cost	Against building its own low-cost electric car alone, Ford shares the venture and hands a line inside Europe's tariff wall to Geely's cars. Neither company disclosed who pays whom, or how much.

The simple version

A tariff is a charge paid at the border on an imported car's value. The EU charges 10%, plus 7.8% to 35.3% on China-built battery cars, by maker; the US at least 100%. EU-built cars pay none. The venture works like a shop owner letting another brand stock an empty aisle while keeping majority ownership of the shop.

The money walk: one China-built car, valued at \$100 at the port

1. At the port \$100 An electric car built in China, before any duty. An index, not a real price.	2. Into the EU \$127 Est 10% base duty plus BYD's 17.0% anti-subsidy duty. Ties a local rival if 21% cheaper to make.	3. Built in Spain \$100 Made inside the EU, the finished car pays no import duty. This is Valencia.	4. Into the US \$200+ Est At least the 100% US tariff on China-built EVs. Needs to cost 50% less to tie.
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The alternative, side by side

Partner: Ford and Geely in Valencia		Fight alone in Europe	
Cash Ford puts in	Not disclosed	Cash Ford puts in	Full cost of that new car
Who owns the venture	Ford 66%, Geely 34%	Who owns the venture	Ford 100%
The new product	Geely-designed electric cars	The new product	A Ford-designed low-cost car
Duty on Geely's cars	None, built in the EU	Duty on Geely's cars	28.8% on electric imports Est
Who carries the risk	Shared, Ford keeps control	Who carries the risk	Ford alone

A Geely car at the port	EU base duty	Geely's anti-subsidy duty	Landed in the EU, Est	= Cost edge to tie Est
\$100	10%	18.8%	\$128.80	22%

Cost edge to tie: how much cheaper a car must be to build so that, after duty, it lands at the same price as a local rival's. Building in Valencia makes it zero.

Who else: Western carmakers and Chinese partners

Who	Partner	Size	Term	New or existing	The read
Stellantis	Leapmotor	About 21% stake; 51% of the export venture	Since Oct 2023; Zaragoza build from 2026 is an intention, not closed	Existing plants	Deepest tie-up: owns part of the rival; over 40,000 European deliveries in 2025.
Chery	Ebro, in the ex-Nissan Barcelona plant	Capacity up to 200,000 cars a year	Not found	Existing, idle	A plant Nissan closed, taken over through a joint venture with a local partner.
Volkswagen	Xpeng	\$700 million for 4.99%	Jul 2023	New models, for China	Co-develops electric cars for sale in China; no European plant.
Volkswagen	EU Commission, for a China-built Cupra	Minimum price and volume cap	Accepted Feb 10, 2026	Existing car	The EU's other door: promise a price floor and skip the anti-subsidy duty.
Ford	Geely	66% / 34% venture; 500,000-car plant	Starts first half of 2027; first Geely car 2028	Existing, under 25% used	Ford keeps 66% and its own models; Geely builds on a line Ford stopped using.

What it looks like for a company without Ford's scale

Minimum	A spare line. Valencia has at least 375,000 cars a year of idle capacity (Est).
Partner's stake	34% (Geely in Valencia) to 49% (Leapmotor in its export venture).
Term	Model cycles: starts 2027 to 2028, no end date disclosed.
Exit cost	Not found for these deals.
Borrowing rate	Below investment grade (junk): the euro high-yield index average was 3.17 percentage points over government bonds on Oct 1, 2026.

What is not being said

Farley calls partnering with and competing against Chinese firms "not mutually exclusive."

Ford does both: the Valencia venture with Geely, and lower-cost battery work with CATL (Contemporary Amperex Technology), China's battery giant, at a Michigan plant, per Reuters. A rival's Chinese ties can sit in its plants and parts behind a Western badge.

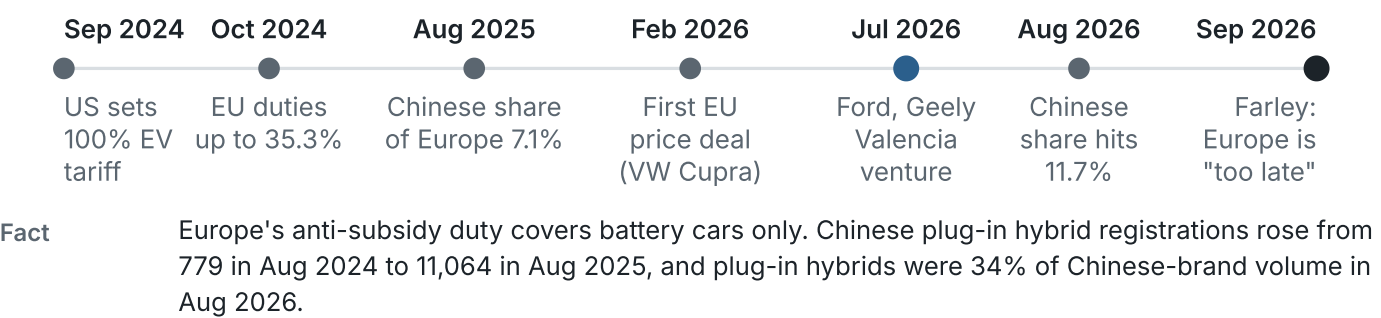
Washington has already questioned Ford's China ties.

In September 2026 Transportation Secretary Sean Duffy said Ford was "intertwining its future with Chinese state-backed enterprises." No reversal of the Geely venture had been reported by Oct 3. A partnership abroad can carry a political cost at home.

The US wall is still being set.

A Senate Commerce Committee bill, pending with no vote date found, would bar carmakers with more than 15% Chinese ownership from US sales; Mercedes-Benz has nearly 20% passive Chinese ownership. How the exemptions are written decides who keeps selling in the US.

The twist: Europe's duty skips hybrids



The everyday version: walls turn importers into builders

This has happened before. In May 1981 Japan capped car exports to the US at 1.68 million a year. The cap covered only finished cars. Honda announced an Ohio plant in 1982. Japan's share of US car sales still rose, from 21.7% in 1981 to 22.6% in 1982: the cap limited shipments, not market share.

Where it breaks: Japan's carmakers built plants themselves. Today Ford and Stellantis hand Chinese partners existing lines, Stellantis its dealers too, and the cars carry software and data links. The US also bans Chinese vehicle software, per Reuters.

Three questions for an executive

How many units a year of our capacity sit idle in our weakest market, and what would a foreign entrant pay to use them?	Then: if a rival could fill it first, price a partnership before they lease the line.
In each main market, how many percentage points of tariff protect us, and what cost edge would a rival need to clear them?	Then: where a rival's real cost edge is bigger, plan as if the wall is already gone.
What percentage of our parts and software spend goes to suppliers with more than 15% Chinese ownership?	Then: if material, model a rule like the Senate bill's ownership test reaching suppliers next.

What to watch

- Late Oct 2026** Ford's third-quarter results (date not yet set). Confirms: the Valencia venture stays on schedule at 66/34. Breaks: changed terms, or new China tie-ups for the US market.
- First half 2027** The Valencia venture starts operating. Confirms: it starts on schedule with Geely's cars due 2028. Breaks: a delay or reshaping under US political pressure.

Your judgment finishes this brief

This brief can't be perfect. Some human judgment shaped what it says and what it leaves out. It's built for learning, so engage with it: apply your own critical thinking, decide what's right or wrong, and ask the follow-up questions. Those calls are yours.